

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT’S MEMORANDUM IN OPPOSITION TO MOTION TO STRIKE
VERIFICATION AND DISMISS THE COMPLAINT**

Complainant 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned counsel, respectfully submits this Memorandum in Opposition to Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited’s (collectively, “Respondents”) November 12, 2024 Motion to Strike Verification and Dismiss the Complaint (the “Motion”).

RELEVANT PROCEDURAL HISTORY

On August 23, 2024, the Presiding Officer issued an Order granting Complainant’s motion to file the Proposed Verified First Amended Complaint (the “1AC Motion Order”). In accordance with the 1AC Motion Order, Complainant’s Verified First Amended Complaint (“1AC”) was filed that same day. Respondents filed their Verified Answer to the 1AC on September 6, 2024.

Pursuant to the 4th Revised Scheduling Order (the “Scheduling Order”), included in the 1AC Motion Order, discovery in this action closed on November 10, 2024, and Complainant’s Opening Brief is due on December 10, 2024.

On October 15, 2024, Respondents deposed David Kastin, an independent consultant to Complainant’s bankruptcy plan administrator and authorized signatory of Complainant following its Chapter 7 bankruptcy dissolution in September 2023. *See* Declaration of Jie Shi, Ex. A, Kastin

Decl. ¶¶ 6,9. Mr. Kastin signed and submitted the verification dated July 3, 2024 (“1AC Verification”) for Complainant’s 1AC. *Id.* During the deposition, Respondents reserved the right to reopen it. Decl. of Jie Shi, Ex. B, Kastin Dep. Tr. 243: 25-244:18.

On November 9, 2024—one day before the discovery deadline, 25 days after Mr. Kastin’s deposition, and a Saturday—Respondents notified Complainant of their intent to file a motion to strike Mr. Kastin’s verification or to compel further testimony. Decl. of Jie Shi, Ex. C. The next day, Complainant requested a meet-and-confer to address any *bona fide* concerns Respondents might have regarding Mr. Kastin’s verification of the 1AC and his testimony. *Id.*

During the November 12 meet-and-confer, Complainant’s counsel explained their belief that the 1AC Verification and Mr. Kastin’s deposition complied with the Commission’s Rules and offered to work constructively with Respondents, including reopening discovery for limited purposes or responding to resubmitted written questions to assuage any concerns Respondents might have had based on the way they left the record at Mr. Kastin’s deposition. Respondents rejected Complainant’s good-faith proposals and, later that same day, filed a motion to strike verification and dismiss the complaint and supporting exhibits. The Parties understood the Motion as constituting a dispositive motion as that term is defined in 46 C.F.R. § 502.69(g).

On November 15, 2024, Complainant filed a motion to submit a Verified Second Amended Complaint (the “2AC”), which, if granted, would render Respondents’ motion moot.

LEGAL STANDARD

Under 46 U.S.C. § 41301(a), “[a] person may file with the Federal Maritime Commission a sworn complaint alleging a violation of th[at] part” 46 C.F.R. § 502.62(a)(3) further requires

that claims be “verified” but offers no additional guidance on what constitutes a verified claim. 46

46 C.F.R. § 502.6(c), which closely mirrors 28 U.S.C. § 1746,¹ provides in relevant part:

Wherever, under any rules of this part, any matter is required or permitted to be supported, evidenced, established, or proved by the sworn declaration, verification, certificate, statement, oath, or affidavit, in writing of the person making the same (other than a deposition under[] § 502.143 or § 502.144), such matter may, with like force and effect, be supported, evidenced, established, or proved by the unsworn declaration, certificate, verification, or statement, in writing of such person which is subscribed by such person, as true under penalty of perjury, in substantially the following form:

(1) If executed without the United States: “I declare (or certify, verify, or state) under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.”

(2) If executed within the United States, its territories, possessions, or commonwealths: “I declare (or certify, verify, or state) ***under penalty of perjury that the foregoing is true and correct.***”

46 C.F.R. § 502.6(c) (emphasis added).

The Commission’s Rules of Practice and Procedure (the “Rules”) do not specifically define the requirements for a verified complaint, but Rule 12, 46 C.F.R. § 502.12, states that “[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent they are consistent with sound administrative practice.”

“28 U.S.C. § 1746 contemplate[s] as adequate certifications that are ‘substantially’ in the form of their provisions. A declaration or certification that includes the disclaimer ‘***to the best of***

¹ 28 U.S.C. § 1746 provides in pertinent part:

Wherever, under any law of the United States or under any rule, regulation, order, or requirement made pursuant to law, any matter is required or permitted to be . . . proved by the sworn declaration, verification, certificate, . . . in writing of the person making the same . . . such matter may . . . be supported, evidenced, established, or proved by the unsworn declaration, certificate, verification, or statement, in writing of such person which is subscribed by him, as true under penalty of perjury . . .

[my] knowledge, information or belief is sufficient under the . . . statute.” See *Cobell v. Norton*, 391 F.3d 251, 260 (D.C. Cir. 2004) (emphasis added). “[T]here are two statements that are essential to a proper verification under § 1746: (i) an assertion that the facts are true and correct; and (ii) an averment that the first assertion is made under penalty of perjury.” *United States v. 8 Gilcrease Lane, Quincy Fla. 32351*, 587 F. Supp. 2d 133, 139 (D.D.C. 2008). “In signing a verified complaint, ‘the signator must satisfy himself that the averments in the complaint are true, based upon either his own knowledge *or upon information and belief.*’” *K Investments, Inc. v. B-Gas Ltd.*, No. 21-40642, 2022 WL 964210, at *3 (5th Cir. Mar. 30, 2022) (quoting *Chan v. Soc’y Expeditions, Inc.*, 123 F.3d 1287, 1295 (9th Cir. 1997) (emphasis added)).

The Commission’s Rules also provide that “[p]arties may obtain discovery regarding any *nonprivileged* matter that is relevant to any party’s claim or defense....” 46 C.F.R. § 502.141(e)(1) (emphasis added). The Federal Rules of Civil Procedure require that “[a]ny objection during a deposition must be stated concisely and in a non-argumentative manner. A person may instruct a deponent not to answer only where necessary to preserve a privilege, enforce a limitation directed by the court, or to present a motion under Rule 30(d)(3).” Fed. R. Civ. P. 30(c)(2). As explained in *U.S. Fid. & Guar. Co. v. Braspetro Oil Servs. Co.*, “the rationale for limiting depositions of attorneys, even if limited to relevant and non-privileged information, [is that depositions of counsel] are likely to have a disruptive effect on the attorney-client relationship and on the litigation of the case.” No. 97CIV.6124(JGK)(THK), 2000 WL 1253262, at *2 (S.D.N.Y. Sept. 1, 2000) (citation omitted).

ARGUMENT

I. Mr. Kastin's Verification Meets All Applicable Requirements and Should Not Be Stricken.

Respondents' Motion fails to state a basis for striking the 1AC Verification. As discussed below, the 1AC Verification satisfies all applicable requirements.

A. All of Respondents' Proffered Cases Clearly State That Verifications Do Not Need to Be Based on Personal Knowledge.

Crucially, Respondents' Motion fails to cite the correct legal standard for verifying a complaint. Each of the cases on which Respondents purport to rely in their Motion, however, do clearly state the *correct* standard, which is that verifications do not need to be based on personal knowledge, and accordingly fatally undermine Respondents' motion.

Respondents insist that a verification requires personal knowledge² but in so doing are incorrectly relying on an inapplicable standard from Rule 56(e) of the Federal Rules of Civil Procedures. *See* Mot. at 4 (citing *Huckabay v. Moore*, 142 F.3d 233, 240 n.6 (5th Cir. 1998)).³ That inapplicable standard actually governs affidavits used to support or oppose a motion for summary judgment—*i.e.*, sworn affidavits used to *prove or disprove* a party's claims on summary judgment, not allegations in a complaint—and requires such an affidavit to be based on personal knowledge. *See* Fed. R. Civ. P. 56(e). However, *that standard explicitly does not apply to verifications*: “affidavits made pursuant to Rule 56(e) differ from unsworn verifications under 28 U.S.C. § 1746 in a critical respect: Rule 56 affidavits ‘must be made on personal knowledge, set out facts that would be admissible in evidence, and show that the affiant is competent to testify on the matters

² Mot. at 4-5, 8.

³ Footnote 6 states:

The facts put forth in a verified complaint may be treated as if in an affidavit on summary judgment, if the asserted facts meet the requirements of FED. R. CIV. P. 56(e) that they be within the personal knowledge of the affiant, that they otherwise would be admissible into evidence, and that the affiant be competent to testify.

stated,’ whereas § 1746 *unsworn verifications may be pled on information and belief.*” 8 *Gilcrease Lane*, 587 F. Supp. 2d at 139 (emphasis added); quoting *Cobell*, 391 F.3d at 260 (“28 U.S.C. § 1746 contemplate[s] as adequate certifications that are ‘substantially’ in the form of their provisions. A declaration or certification that includes the disclaimer ‘to the best of [my] knowledge, information or belief’ is sufficient under the ... statute.””).

Respondents’ entire motion is essentially built around one quotation from *K Investments, Inc. v. B-Gas Ltd.* that, only without context and standing in isolation, could be read to support their position: “Facts in a verified complaint must be ‘within the personal knowledge of the affiant,’ and the affiant must ‘be competent to testify’ to them. *Huckabay v. Moore*, 142 F.3d 233, 240 n.6 (5th Cir. 1998).” No. 21-40642, 2022 WL 964210, at *3 (5th Cir. Mar. 30, 2022). Unfortunately for Respondents, there are two major issues with their reliance on this quotation. First and foremost: the Fifth Circuit in *K Investments* ***misquoted the underlying decision*** in the *Huckabay* case. The *K Investments* court specifically cited to footnote six of *Huckabay* for the proposition above. However, comparing the quotation side-by-side with the unabridged, unedited footnote six that it quotes reveals that the quote was limited to the Rule 56(e) requirements applicable to affidavits supporting summary judgment:

<i>K Investments, Inc. v. B-Gas Ltd.</i> , No. 21-40642, 2022 WL 964210, at *3 (5th Cir. Mar. 30, 2022).	<i>Huckabay v. Moore</i> , 142 F.3d 233, 240 n.6 (5th Cir. 1998) (emphasis added).
Facts in a verified complaint must be “within the personal knowledge of the affiant,” and the affiant must “be competent to testify” to them. <i>Huckabay v. Moore</i> , 142 F.3d 233, 240 n.6 (5th Cir. 1998)	The facts put forth in a verified complaint may be treated as if in an affidavit on summary judgment, <i>if the asserted facts meet the requirements of Fed. R. Civ. P. 56(e) that they be within the personal knowledge of the affiant</i> , that they otherwise would be admissible into evidence, <i>and that the affiant be competent to testify</i> . See <i>Lodge Hall Music, Inc. v. Waco Wrangler Club, Inc.</i> , 831 F.2d 77, 80 (5th Cir.1987); <i>Fowler v. Southern Tel. & Tel. Co.</i> , 343 F.2d 150, 154 (5th Cir.1965).

In summarizing the *Huckabay* footnote, the *K Investments* court incorrectly conflated the 56(e) requirements, which apply only if a verification is to be used as an affidavit on summary judgment, with the broad standard for verifications generally.

The full quotation from *Huckabay* contradicts Respondents’ argument because it clearly contemplates that some verified complaints will **not** be within the personal knowledge of the verifier: otherwise, all facts in a verified complaint could be treated as affidavits on summary judgment and there would be no need for *Huckabay* to discuss the requirements laid out under Rule 56(e).⁴ This distinction, which acknowledges that verified complaints need not be based on personal knowledge, is well-attested throughout federal case law. *See 8 Gilcrease Lane*, 587 F. Supp. 2d at 139-404; *Schroeder v. McDonald*, 55 F.3d 454, 460 (9th Cir. 1995) (“[a] verified complaint may be used as an opposing affidavit under Rule 56. [...] To function as an opposing affidavit, however, the verified complaint must be based on personal knowledge and set forth specific facts admissible in evidence”) (internal citation omitted); *Dodson v. Mohr*, No. 21-3778, 2022 WL 3954932, at *4 (6th Cir. July 28, 2022) (“[f]inally, Dodson argues that the allegations in his verified amended complaint were sufficient to avoid summary judgment on this point. But the verification statement contained in his amended complaint failed to distinguish between allegations based on firsthand knowledge and those based merely on information and belief”); *Walker v. Tyler Cnty. Commn.*, 11 Fed. Appx. 270, 274 (4th Cir. 2001) (unpublished) (“[a] verified complaint is the equivalent of an opposing affidavit for summary judgment purposes, when the allegations contained therein are based on personal knowledge. Therefore, a verified complaint that alleges facts that are made on belief or information and belief is insufficient **to oppose**

⁴ To be clear, there is no doubt that this nuance was lost on Respondents considering this incorrect assertion in their motion: “[a] complaint verification is akin to an affidavit and may even be considered competent summary judgment evidence when correctly prepared.”

summary judgment”) (emphasis added); *Gatling v. A. Richfield Co.*, 577 F.2d 185, 188 (2d Cir. 1978) (“[t]he allegations in a complaint verified by the plaintiffs' attorney on information and belief will not suffice for th[e] purpose” of contesting summary judgment); *D'Andrea v. Nielsen*, 765 Fed. Appx. 602, 604 (2d Cir. 2019) (unpublished) (“[a] verified pleading that contains allegations on the basis of the plaintiff's personal knowledge, and not merely on information and belief, has the effect of an affidavit and may be relied on to oppose summary judgment”); *Sheinkopf v. Stone*, 927 F.2d 1259, 1271 (1st Cir. 1991) (“[a] verified complaint may be treated as an affidavit only to the extent that it comports with the requirements of Rule 56(e). It is apodictic that an affidavit made upon information and belief does not comply with Rule 56(e)”); *Fitzgerald v. Henderson*, 251 F.3d 345, 361 (2d Cir. 2001) (“[f]irst, the amended complaint in the present action was verified. In the verification, Fitzgerald stated under oath that the pleading was ‘true to her own knowledge, except as to matters alleged upon information and belief.’ This verification was the equivalent of the oath that would be given with respect to an affidavit. Thus, to the extent that the amended complaint asserted factual matters other than on information and belief, Fitzgerald was entitled to rely on it in opposing summary judgment”).

The second issue with Respondents’ reliance on the above quotation from *K Investments* is that *the very next sentence of that case, which Respondents did not choose to quote in their motion*, states that verified complaints need not be based on personal knowledge: “In signing a verified complaint, the signator must satisfy himself that the averments in the complaint are true, based upon *either* his own knowledge *or upon information and belief*.” *K Investments*, at *3 (internal citations omitted) (emphasis added).

Respondents' sole other source of precedential support, *Yarosh v. Salkind*, is equally problematic for them for precisely the same reason.⁵ No. CIV.A. 04-1816(JWB), 2005 WL 1459719, at *3–4 (D.N.J. June 21, 2005). In *Yarosh*, ***the court also held that personal knowledge is not required to verify a complaint***, holding that “to verify the complaint under Rule 23.1, ***the plaintiff need not have direct knowledge of the facts on which the complaint is based***. Thus, a plaintiff shareholder may verify a complaint by relying on truthful explanations of the case by others.”⁶ *Id.* (emphasis added). The holdings and actual text of *K Investments*, *Huckabay*, and *Yarosh* are so obviously contrary to the proposition for which Respondents cite them that it is difficult to view Respondents' motion as having been made in good faith.⁷

The fact that ***every case cited by the Respondents confirms that personal knowledge is not required to verify a complaint*** demonstrates the frivolousness of their motion and this utter lack of foundation fatally undermines Respondents' entire argument. Throughout their brief, Respondents repeatedly state that the supposed issue with Mr. Kastin's verification was that it was not based entirely on “personal knowledge”:

- “Here, Mr. Kastin swears under penalty of perjury to the truth of the allegations not based on his own personal knowledge but based on information received from others.”
- “Contrary to his verification, Mr. Kastin in fact has no personal knowledge.”⁸

⁵ Respondents cite four cases in section I of their motion, *K Investments*, *Huckabay*, *Yarosh*, and *Balazs v. Liebenthal*, 32 F.3d 151, 157 (4th Cir. 1994). Only the first three, all discussed herein, relate to Respondents' arguments regarding the propriety of Mr. Kastin's verification. In *Balazs* the court did not analyze whether a purported verification was proper, only whether complainant's attempts to cure the deficiency after the fact were timely and proper. 32 F.3d at 157.

⁶ Respondents failed to mention to the Commission the critical fact that *Yarosh* analyzes verification under Rule 23.1, governing derivative actions, which is not at issue here. However, despite the inapposite context, Complainant has included these points nonetheless (1) because the *Yarosh* court's statement that verification does not require personal knowledge is consistent with other courts' analyses regarding all forms of verified complaints, and (2) because Complainant did not wish to leave any of Respondents' points unanswered.

⁷ Respondents cannot claim that *K Investments*' misquotation of footnote 6 in *Huckabay* is the source of their problems. Respondents independently quoted footnote 6 of *Huckabay* in a separate section of their brief and should be responsible for having read it and reported it accurately. See Mot. at 11.

⁸ Of course, this ignores the fact that Mr. Kastin's verification explicitly states that it is also based on “information[] and belief”. Respondents themselves noted this fact in the quoted bullet point above.

- “If the Commission’s verification requirement is to have any meaning at all, it must require that the person who signed the verification not just be a convenient signatory, but in fact have substantial personal knowledge of the allegations attested to.”
- “he has put his personal knowledge in issue in this case”⁹

Unfortunately for Respondents, all of these points fall away because—as demonstrated by Respondents’ own cases—the *correct* question is whether the verification was based on ‘personal knowledge’, ‘upon information and belief’, or on ‘truthful explanations of the case by others’. *See also U.S. v. One Parcel of Land Titled in Name of Richter*, 28 F.3d 110 (9th Cir. 1994), as amended (July 26, 1994) (“[m]oreover, generally a complaint may be verified on information and belief”); *8 Gilcrease Lane* at 139-40 (“unsworn verifications may be pled on information and belief”); *K Investments*, at *3 (“[i]n signing a verified complaint, the signator must satisfy himself that the averments in the complaint are true, based upon either his own knowledge *or upon information and belief*”) (emphasis added); *Yarosh*, at *3–4 (“plaintiff shareholder may verify a complaint by relying on truthful explanations of the case by others”).

In his deposition, Mr. Kastin confirmed that his verification of the 1AC was—like most verifications in large commercial cases—based upon company data, communications, and business records. *See* Kastin Dep. Tr. 60:17-61:6 (“Q And can you tell us what information you received from others that you relied upon in formulating your answer to this verification? A I received, I guess, a ZIP file, or an e-mail containing a ZIP file. I believe it was a ZIP file containing emails and documents and spreadsheets and whatnot. Q How many documents were contained in that ZIP file, approximately? A I don’t remember. Q More than 10? A Yes.”). This evidence allowed him to ensure that the allegations in the 1AC had documentary support.

⁹ As stated above, it is not true that Mr. Kastin put his personal knowledge at issue in this case. The verification states that it also based on “information[] and belief”.

Because Mr. Kastin properly relied on evidence supporting the facts in the 1AC—and because all of Respondents’ cases confirm the universal rule that such reliance was proper—Respondents’ motion must be denied.

B. Mr. Kastin Was Under No Obligation to Interrogate Each Document Presented to Him or Perfectly Remember the Verification Process.

Respondents, apparently making a baseless argument as to authentication, complain that Mr. Kastin “assumed [documents] were true” after receiving selected discovery material from counsel. Respondents do not contend that any particular document was inauthentic or fabricated, because they have no basis to do so, and any such argument would be utterly frivolous. Suffice to say, Respondents have offered *no support* for the proposition that Mr. Kastin had a duty to engage in further authentication or challenge the chain of custody of any document provided to him in aid of his verification, especially where, as here, every single such document was identified in the 1AC and produced in discovery.

Respondents spend multiple pages referencing specific moments in Mr. Kastin’s deposition apparently attempting to show that Mr. Kastin’s imperfect recall of the verification process months after it occurred should have some legal consequence. Even if Respondents’ contentions about Mr. Kastin’s inability to remember certain items were not cherry-picked and exaggerated (they are¹⁰), it would not matter because Respondents have cited no precedent placing a minimum bound on

¹⁰ In fact, Mr. Kastin’s testimony demonstrated a clear understanding of the allegations and the evidence on which they were based. *See, e.g.*, Kastin Deposition 70:4-11 (“Q And so what did you do to verify that OOCL engaged in a practice of systematically failing to meet its service commitments? A I reviewed the documentation supplied to me by Huth Reynolds, which consisted of the e-mail correspondence and Excel spreadsheets and probably some PDFs”); 186:13-16 (“the information provided by Huth Reynolds [...] had me satisfied that I was able to verify the Complaint”); 187:10-15 (“I had no conversations with Mr. Guerrero as I reviewed -- as I verified the Complaint, the Amended Complaint. While an employee of Bed Bath & Beyond, I did have conversations with Mr. Guerrero”); 219:4-220:6 (“Q Okay. And if we go down to paragraph 108, it’s an e-mail from Jim Mitchell... what about that e-mail amounts to coercion by OOCL to sign off on a premium contract? A It’s my understanding that, taken as a whole, the actions by OOCL and the pressure put onto employees of Bed Bath related to the charges -- the excessive charges that we’re seeing here and the signing of additional contracts that we’re seeing here. I don’t know if I can point to one specific e-mail to say, yes, this is the smoking gun. I think it’s the totality of the -- of the other documents”).

how well a verifier must remember the verification process months after it has taken place. It is, in fact, a well-settled principle that witnesses cannot be expected to maintain perfect recall, even over periods far shorter than the period that elapsed between Mr. Kastin's verification and his deposition. *See, e.g., United States v. Martin*, No. 13 CR 772-3, 2014 WL 5465287 at *5 (N.D. Ill. Oct. 10, 2014) ("memory is fallible and fades with time, *even of events only two weeks in the past*") (emphasis added); *United States v. Knox*, 124 F.3d 1360, 1364 (10th Cir. 1997) ("[a] witness's lack of recollection does not constitute an inability to cross-examine"); *Snoznik v. Jeld-Wen, Inc.*, CIVIL No. 1:09cv42, 2010 WL 1924483 at *44 (W.D.N.C. May 12, 2010) ("[o]f course, the law does not require that a witness have perfect recall"). Because Respondents have not shown that their allegations regarding Mr. Kastin's memory or examination of documents have any legal consequence, their motion must be denied.

C. Mr. Kastin's Verification Met All of the Requirements of a Proper Verification.

"[T]here are two statements that are essential to a proper verification under § 1746: (i) an assertion that the facts are true and correct; and (ii) an averment that the first assertion is made under penalty of perjury." 8 *Gilcrease Lane* at 133 The verification in the 1AC plainly states (in relevant excerpt):

I have read the foregoing Verified First Amended Complaint and believe, to the best of my knowledge, information, and belief, including information received from others, that the facts stated therein are true and correct. I declare under penalty of perjury that the foregoing is true and correct.

This statement, which includes both "an assertion that the facts are true and correct" and "an averment that the first assertion is made under penalty of perjury," is plainly sufficient to satisfy the requirement that the 1AC be verified. *Id.*; *see Schroeder v. McDonald* at 460 ("Schroeder did

verify his complaint because he stated under penalty of perjury that the contents were true and correct”).

Respondents’ also attempt to attack Mr. Kastin’s verification of Complainant’s responses to the Respondents’ First Set of Interrogatories. *See* Mot. at 5. Respondents note again Mr. Kastin’s statement that he would “have no independent knowledge” of a matter related to certain interrogatories, beyond discovery material in this matter. Again, Respondents have failed to grasp that Mr. Kastin’s verification of the interrogatory responses was based on “information, and belief, including information received from others”. *See* Respondents’ Ex. B at 18.

Because Mr. Kastin’s verification met all of the requirements, Respondents’ motion to dismiss must be denied.

II. Complainant Did Not Waive the Attorney-Client Privilege by Having Mr. Kastin Verify the 1AC.

During Respondents’ October 15, 2024 deposition of Mr. Kastin, Respondents’ counsel repeatedly posed questions that sought disclosure of attorney-client communications, intruded upon the attorney work product doctrine, or could have violated Mr. Kastin’s ethical duty to preserve client confidences. Because voluntary disclosure of protected information could potentially result in waiving either the attorney-client privilege or work product protection, Complainant’s counsel consistently instructed Mr. Kastin not to answer these questions. In fact, Mr. Kastin thoroughly answered all non-privileged questions. Moreover, Respondents’ failure to obtain additional testimony is Respondents’ own fault, because Respondents’ counsel refused, despite explanations from Complainant’s counsel during the deposition regarding the specific basis for the privilege and attorney work product objections, to rephrase his questions to seek only non-privileged information.

A. Respondents Have Failed to Identify the Allegedly Problematic Objections and the Questions That Went Unanswered.

As an initial matter, Respondents have failed to provide sufficient specificity to state a coherent argument concerning privilege. Respondents have not identified specifically which privilege objections should be overruled, what questions they still wish to ask Mr. Kastin, or the relevant standard for waiving privilege.

Respondents vaguely allege that “Mr. Kastin refused to testify regarding his personal knowledge of alleged facts that provide a basis for the Amended Complaint at least 14 times” and that “Complainant’s counsel objected at least 27 times on privilege grounds.” Respondents fail to cite these alleged occurrences or explain why they believe each was improper. In fact, Complainant’s privilege objections arose in various contexts and were narrowly tailored to specific defects in the questions asked by Respondents’ counsel: including objections that instructed Mr. Kastin to answer only to the extent he could do so without revealing attorney-client privileged information and/or attorney work product (Kastin Dep. Tr. 179:23-180:10; 199:7-19), objections because of privilege issues raised by Mr. Kastin, a lawyer himself (*Id.* 185:3-11), objections unrelated to the verification process but pertaining to allegations in the verified 1AC (*Id.* 146:3-14), and objections entirely unrelated to the 1AC (*Id.* 207:20-208:6). By failing to identify which specific objections they challenge, or explain why each objection was supposedly improper, Respondents have also failed to give the Presiding Officer or Complainant a basis to evaluate their complaints, and the motion must fail.

Next, Respondents claim that “OOCL’s examination of Mr. Kastin was hamstrung by Complainant’s repeated instructions to Mr. Kastin not to answer on the basis of attorney-client privilege supposedly relating to Mr. Kastin’s employment with Complainant.” However, the Respondents have also failed to include any citations to the specific questions OOCL was

prevented from asking or what specific information they were unable to gather. Suffice it to say, many of the objections in Mr. Kastin's deposition were "relat[ed] to Mr. Kastin's employment with Complainant" because Mr. Kastin was employed with Complainant *as its Chief Legal Officer and General Counsel* prior to Complainant's bankruptcy and also continues to provide legal services as part of his current role. Respondents seem to be arguing that all of these objections should be overruled without any differentiation or distinction. This would be drastic relief for a problem that Respondents have described in such vague detail.

Finally, Respondents did not include in their motion the standard for evaluating claims of privilege. "Generally, the attorney-client privilege is waived by voluntary disclosure of private communications by an individual or corporation to third parties. In addition, a client may waive the privilege by conduct which implies a waiver of the privilege or a consent to disclosure." *In re Lott*, 424 F.3d 446, 452 (6th Cir. 2005) (citing *In re Columbia HCA Healthcare Corp. Billing Practices Litigation*, 293 F. 3d 289, 294 (6th Cir. 2002)). In this case, the Respondents have not identified any private, privileged communications that were disclosed by the IAC. To the contrary, every document relied upon by Mr. Kastin in verifying the IAC is identified in the IAC itself and has been produced in discovery. Indeed, Respondents issued **40 discovery requests for documents related to the IAC**, and Complainant fully satisfied its production obligations.

The thrust of Respondents' argument is somewhat unclear, as it is based upon a nonexistent standard and lacks specificity as to which objections Respondents deem objectionable or which communications Respondents assert might have effected a waiver of privilege. To the extent that Respondents assert that by merely "rely[ing] on Mr. Kastin to verify the Amended Complaint," Complainant automatically waived privilege over everything Mr. Kastin ever did as a lawyer for

the company, then they have offered zero precedential support for that untenable and frivolous position. *See* Mot. at 10.

In the present case, Complainant had entered into Chapter 7 bankruptcy, leaving almost no personnel available at the time of filing the 1AC, and Mr. Kastin was the best-placed person associated with the bankruptcy estate to participate in verifying the 1AC. Consider the practicalities of bankrupt entities litigating: without privilege protections, lawyers could not fulfill their duty to keep client confidence if the act of verifying the pleading resulted in waiver of all privilege protections, opening the door wide open to the opposing party.

Respondents also refer to Mr. Kastin's *legal assertion* that "privilege wasn't his to waive" as a "*quip*". To be clear, Mr. Kastin was not quipping: it is a bedrock of attorney ethics that only a client can waive privilege. *Lama v. Malik*, 25 F. Supp. 3d 316, 319 (E.D.N.Y. 2014) ("It is well-established that the attorney-client privilege belongs solely to the client and it may only be waived by him or her. An attorney may not waive the privilege without his client's consent. Indeed, the attorney's disclosure of the communication does not relinquish the privilege without the client's consent or waiver"); *Smith v. Armour Pharmaceutical Co.*, 838 F. Supp. 1573, 1577 (S.D. Fla. 1993) ("The law is clear; it is only the client who has the power to waive the attorney-client privilege").

Because Respondents have not identified the relief they seek or analyzed their request against the applicable privilege standard, they have not given the Presiding Officer sufficient grounds to grant their motion, and it should be denied.

B. Mr. Kastin Cannot Have Waived Privilege Regarding His Personal Knowledge of the Complaint Because He Repeatedly Stated That He Had None.

Underpinning their entire frivolous motion is Respondents' claim that Mr. Kastin had personal knowledge. Respondents seem to misunderstand the basic fact that Mr. Kastin, as he

repeatedly testified during his deposition, *relied on documents and extrinsic evidence to verify the 1AC*. See Kastin Dep. Tr. 60:17-61:6. For instance, Respondents’ motion includes a subheading titled “Kastin’s personal knowledge is discoverable”, *despite Mr. Kastin’s clear testimony that he has no personal knowledge regarding the facts in the 1AC*. Kastin Dep. Tr. 69:3-8 (“Since I was not at Bed Bath during the contract periods, I don’t have any knowledge of the facts underlying the Complaint independently when reviewing the Complaint and the documents provided to me to review the Complaint”); *Id.* 68:13-15 (“I had no independent facts that I provided to Huth Reynolds in connection with the preparation of the Complaint”).

Because Mr. Kastin did not rely on his personal knowledge to verify the 1AC, he cannot have waived any privilege regarding his personal knowledge.

C. Mr. Kastin and Complainant’s Counsel Had Adequate Grounds to Claim Privilege.

Mr. Kastin joined Complainant as Chief Legal Officer in December 2022. Kastin Decl. ¶ 5. Following Complainant’s dissolution as part of entry into Chapter 7 bankruptcy in September 2023, Mr. Kastin became an independent consultant to Complainant’s bankruptcy plan administrator. *Id.* at ¶ 6. In such capacity, his duties are to provide legal advice to Complainant’s bankruptcy plan administrator in connection with the winddown of Complainant’s estate. *Id.* During Mr. Kastin’s deposition, Respondents’ counsel improperly asked at least 16 questions directly probing his thoughts on specific allegations in the 1AC. See Kastin Dep. Tr. 71:13-74:3, 74:10-75:21, 148:20-149:11, 152:20-153:13, 155:8-18, 175:12-24, 176:4-17, 179:23-180:10, 194:2-17, 199:6-19, 210:10-23, 211:19-212:13, 230:12-231:5, 231:15-232:5, 232:25-233:20, and 242:20-243:23. Because Mr. Kastin’s thoughts on specific allegations in this case obviously also implicate his former role as Chief Legal Officer and General Counsel, counsel for Complainant correctly objected to the manner in which Respondents’ counsel framed their questions to avoid

the very real danger of an unintentional disclosure being made. Essentially, Respondents' questions made it impossible to disentangle non-privileged facts from privileged assessments made by Mr. Kastin in his role as Chief Legal Officer. *See id*; *Resolution Trust Corp. v. Diamond*, 773 F. Supp. 597, 601 (S.D.N.Y. 1991) (withholding documents because they "contain privileged attorney-client communications that appear to be so inextricably intertwined with the rest of the text that they cannot be separated"); *Husayn v. Mitchell*, 965 F.3d 775, 776 (9th Cir. 2020) (concurring judges noting that they agree with the majority's decision because "critically, it does not direct the district court to compel discovery on remand if the court determines that nonprivileged materials cannot be disentangled from privileged materials"). For example, questions like the following inherently implicate attorney-client privilege and Kastin's prior role at the company:

- "Did you ever evaluate the amount of space or evaluate the amount of space that OOCL provided to Bed Bath during those two shipping years?" *See* Kastin Dep. Tr. 71:13-74:3.
- "Q Did you evaluate the amount of space that OOCL provided during this period from October '21 through March of 2022?" *See id*. Kastin Dep. Tr. 175:12-24.
- "Q And so the question again: What did you do to evaluate whether or not OOCL provided the space that it was obligated to provide under the annual service contracts for these two years?" *See id*. Kastin Dep. Tr. 211:19-212:13.

These inquiries, lacking specificity, unavoidably encompass evaluations and privileged assessments performed during Mr. Kastin's tenure as Chief Legal Officer.¹¹

Because the privilege objections asserted by Mr. Kastin and Complainant's counsel were based upon the possibility of disclosing privileged information related to Mr. Kastin's role as Chief Legal Officer, Respondents' motion must be denied. Respondents' counsel had the opportunity to

¹¹ *Id.* at Kastin Dep. Tr. 187:10-15 ("I had no conversations with Mr. Guerrero as I reviewed -- as I verified the Complaint, the Amended Complaint. While an employee of Bed Bath & Beyond, I did have conversations with Mr. Guerrero"); *Id.* 245:1525 ("I think there would need to be greater clarity in the questions as to what time period the questions address. If the time periods in these questions were addressing solely the point at which he reviewed and verified the Amended Complaint in this action, I think that many of those questions would not be objectionable").

rephrase their questions to seek only nonprivileged information, but failed to do so. Indeed, Complainant's counsel even offered, when Respondents belatedly announced they planned to file their Motion, to provide written responses on questions where Respondents felt their counsel failed to get usable testimony because of the way he phrased his questions. Respondents refused to do so and should not be permitted to complain that their own strategic choices and defective questioning resulted in their failure to obtain the testimony they sought.

D. Complaint Is Not Withholding Any Information to Which Respondents Are Entitled.

Respondents' Motion also fails for the simple reason that Respondents have utterly failed to show any prejudice. As Respondents acknowledge, Mr. Kastin described what he did in verifying the 1AC. *See* Mot. at 11; *see also* Kastin Dep. Tr. 229:9-230:7 ("Q So essentially, then, it would be a fair summation of what you did in this case, is you received the First Amended Complaint; you received documents from Huth Reynolds; you reviewed those documents; you reviewed the First Amended Complaint; and then you signed the verification to accompany the First Amended Complaint? A Yes. Q: Did you do anything else, other than what I've just described? [Objection to privilege by Complainant's counsel] A: And I'm choosing not to answer that based on the advice of counsel.").

To the extent that Respondents claim that they were denied the opportunity to receive answers to specific questions in the exact form that Respondents' counsel asked them, that is a self-inflicted wound. On numerous occasions during Mr. Kastin's deposition, Complainant's counsel proposed to Respondents' counsel various phrasings that would not provoke a privilege objection. Complainant's counsel repeatedly encouraged the Respondents' counsel to focus their questions on factual matters rather than Mr. Kastin's legal opinions. Despite the offers,

Respondents' counsel unilaterally refused to rephrase the questions or clarify their scope outside of purely attorney-client privileged matters. Kastin Dep. Tr. 71:13-73:19; 75:4-21; 245:4-246:25.

III. Respondents' Counsel Has Refused to Engage in a Good Faith Effort to Resolve the Instant Discovery Disputes.

Respondents' counsel has failed to engage in a good faith effort to resolve the pending discovery disputes. Their assertion that they were "forced to file this motion" (Mot. at 3) is belied by the email exchange between the parties, wherein Respondents' counsel stated, "[f]or certificate of conference purposes, we're planning to file tomorrow, November 10, 2024, a motion to strike David Kastin's verification or to compel further testimony. We presume that BBBY is opposed to same unless we hear otherwise from you to the contrary, which candidly we don't expect." Decl. of Jie Shi, Ex. C. There was no meaningful effort to engage in discussion. In response, Complainant's counsel appropriately suggested that the parties "confer about this [motion] before [Respondents] file any such motion, especially given that [Respondents] have not provided any detail about the substance or specifics of the proposed motion." During the meet-and-confer on November 12, 2024, Complainant counsel made repeated efforts to explore potential resolutions—including having Mr. Kastin answer additional written questions—but Respondents' counsel steadfastly refused to engage and insisted that a motion was necessary.

Respondents' most recent filing, an opposition to Complainant's motion to file a verified second amended complaint, contains a curious, and baseless, accusation that **Complainant** has attempted to delay the proceeding. If anything, it is Respondents' last-minute Motion that risks delaying this litigation, as they: 1) ignored the explicit deadlines for the close of discovery set forth in the Scheduling Order; 2) rejected Complainant's good faith proposals to explore alternative solutions to avoid the time and expense of motions practice; and 3) clung to their unfounded theory that Mr. Kastin's verifications are deficient and the attorney-client or work product privileges do

not apply, thereby forcing the parties to engage in unnecessary motion practice. Notably, Respondents request a revised schedule “[s]hould the Presiding Officer order additional depositions.” Mot. at 2.

To be clear, Complainant does not consent to Respondents’ efforts to delay this proceeding, and requests that the Presiding Officer enforce the schedule and proceed to a decision on the merits. Respondents’ last minute “Hail Mary” attempt to derail the schedule during trial briefing should be rejected. *See Aeneas Exporting LLC v. Honeybee International Inc., and All America Shipping*, 2022 WL 2399909, at *1 (ALJ June 29, 2022) (Scheduling Order) (“[D]ispositive motions at the close of discovery are disfavored as it is more efficient to move to briefing where factual disputes can be resolved.”).

On November 15, 2024, Complainant filed a motion seeking permission to file a second verified amended complaint, again verified by Mr. Kastin and accompanied by a declaration explaining the steps Mr. Kastin took to comply with the verification requirements. If that motion is granted, Respondents’ instant Motion will be rendered moot. *Fawzy v. SNC*, 873 F.3d 451, 455 (4th Cir. 2017) (“Because a properly filed amended complaint supersedes the original one and becomes the operative complaint in the case, it renders the original complaint of no effect. Accordingly, when Fawzy filed his amended complaint as a matter of right at 1:16 p.m. on October 14, 2016, his filing rendered his original complaint of no effect. As a consequence, when the district court subsequently dismissed the original complaint at 2:22 p.m. on the same day, it ruled on a mooted complaint, not the operative one”); *Ramirez v. Cnty. of San Bernardino*, 806 F.3d 1002, 1008 (9th Cir. 2015) (“an amended complaint supersedes the original, the latter being treated thereafter as non-existent... the Defendants’ motion to dismiss targeted the Plaintiff’s First Amended Complaint, which was no longer in effect [and so] we conclude that the motion to

dismiss should have been deemed moot before the district court granted it”). As discussed in that motion, the amendment is purely ministerial in nature and merely updates the damages demands to conform to information that has already been produced in discovery, so it will not prejudice Respondents in any way. The amendment therefore should not occasion any delay in these proceedings, and in fact was filed to take an issue *off* the table for trial briefing by precluding Respondents from arguing any surprise arising from the updated calculations.

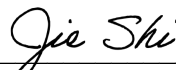
CONCLUSION

For the foregoing reasons, Complainant respectfully requests that the Presiding Officer deny Respondents’ Motion to Strike Verification and Dismiss the Complaint.

Dated: November 27, 2024

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document and its exhibits upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of those documents to their counsel of record listed below:

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